

# WarehouseGPT KPI Handbook

## Purpose of the KPI Handbook

This handbook defines the operational KPIs used by WarehouseGPT. It is used by the RAG layer to explain KPI meaning, interpretation, benchmarks and management actions.

- Use this document for KPI definitions.
- Use benchmark tables for numeric thresholds.
- Use the investigation guide for root-cause analysis.

## KPI: PickRate

Definition: Picked units per productive labor hour.

Business Interpretation: Low PickRate may indicate training gaps, slotting issues, excessive travel time, replenishment delay, system downtime or poor workload allocation.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## KPI: SelectionRate\_Cases

Definition: Cases selected per productive labor hour.

Business Interpretation: Low selection rate may indicate task release delays, poor wave planning, or lack of available stock.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## KPI: ReplenishmentRate

Definition: Replenishment tasks completed per productive labor hour.

Business Interpretation: Low replenishment rate can create downstream idle time and picking productivity loss.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.

- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: IdleSelectionTime\_pct**

Definition: Percentage of selection time where the employee is waiting or not actively selecting.

Business Interpretation: High idle time suggests process blockage, system wait, equipment wait, or delayed replenishment.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: OnTaskTime\_pct**

Definition: Share of working time spent on productive tasks.

Business Interpretation: Low on-task time indicates labor utilization issues or operational interruptions.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: Overtime\_pct**

Definition: Overtime hours as a percentage of scheduled labor hours.

Business Interpretation: High overtime can indicate understaffing, poor forecasting, volume spikes or absenteeism.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: LaborHours**

Definition: Total labor hours used in the operational day.

Business Interpretation: High labor hours with low throughput indicates productivity leakage.

- Review trend over time.
- Compare against benchmark threshold.

- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: LaborCost\_EUR**

Definition: Estimated labor cost per employee day.

Business Interpretation: High labor cost should be interpreted together with overtime and productivity.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: ForecastVolume**

Definition: Expected operational volume based on planning assumptions.

Business Interpretation: Used to compare expected vs actual workload.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: ActualVolume**

Definition: Actual volume processed.

Business Interpretation: High actual volume can explain overtime or service pressure.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: CapacityUtilization\_pct**

Definition: Share of operational capacity used.

Business Interpretation: Very high utilization can create service risk and bottlenecks.

- Review trend over time.
- Compare against benchmark threshold.

- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: EquipmentDowntime\_Min**

Definition: Minutes of equipment or system downtime.

Business Interpretation: High downtime can reduce productivity and increase idle time.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: InventoryAccuracy\_pct**

Definition: Accuracy between system inventory and physical count.

Business Interpretation: Low inventory accuracy drives picking errors and service failures.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: PickingErrorRate\_pct**

Definition: Incorrect picks as a percentage of total picks.

Business Interpretation: High error rates create quality and customer service issues.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: OnTimeShipment\_pct**

Definition: Share of orders shipped on time.

Business Interpretation: Low on-time shipment is a direct service risk.

- Review trend over time.
- Compare against benchmark threshold.

- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: Absenteeism\_pct**

Definition: Workforce absence rate.

Business Interpretation: High absenteeism can create overtime pressure and productivity instability.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.

## **KPI: SafetyIncidents**

Definition: Number of safety incidents recorded.

Business Interpretation: Safety incidents require immediate review and corrective action.

- Review trend over time.
- Compare against benchmark threshold.
- Compare across DC, manager, team leader, shift and employee.
- Check whether related KPIs show supporting evidence.
- Use recommendation rules if the KPI is in warning or critical zone.